

May 4, 2025

When Will The “Bear Market Rally” End and Who Has Been Buying?

Jordi Visser

JVisser@22VResearch.com

22vresearch.com

In this week’s video ([watch video here](#)), I explore why the current market rally—despite widespread skepticism—may not be the traditional bear market bounce that consensus believes it to be. While many investors continue to lean on recession-era analogies, both macro and market data suggest a different narrative. Jobless claims and credit spreads show no signs of stress, yet sentiment remains at historically bearish levels. This is a classic example of investors violating Bayesian principles—refusing to update their views in light of new information. Whether it’s the second derivative shift in tariff policy, the resilience of AI-related CapEx from mega-cap tech companies, or ongoing strength in the labor market, sentiment has remained stubbornly negative despite a broad-based rally.

Corporate buybacks and speculative retail flows are helping drive the S&P 500 higher across nearly all sectors. Meanwhile, the case against bonds is intensifying: inflation pressures persist, fiscal restraint remains elusive, and foreign demand for U.S. debt continues to fade—bringing back TINA (There Is No Alternative) as a tailwind for liability-driven allocators. Looking ahead, humanoid robots are approaching commercialization at scale, and Bitcoin and stablecoins are being embedded into the global financial system. Bitcoin’s ascent is increasingly institutional, and with emerging concepts like U.S.-issued “bitbonds,” the convergence of crypto and fiat infrastructure is no longer theoretical—it’s already underway.

Timestamps:

- **00:00–03:57** — The rally is mistrusted despite strength. Bearish sentiment remains elevated even as all sectors rise. Evidence suggests this is not a typical bear market bounce.
- **04:14–06:55** — No clear signs of recession. Claims and credit spreads remain stable. Sentiment is historically bearish despite price recovery, which contradicts typical patterns.
- **07:36–09:03** — Investors are failing to update views in Bayesian fashion. Tariff policy changes and economic data shifts aren’t being priced in.
- **10:00–11:28** — Recession fears are misplaced without job losses. Structural changes (e.g. gig work, contingency workers retirements, UBI) support consumption.
- **13:04–15:49** — AI-driven CapEx by mega-cap tech firms is distorting traditional economic measures. Revenues of top firms now rival national economies.
- **20:31–23:10** — Corporates (especially Apple) and retail are major buyers. Retail acts probabilistically, thriving in current trading environments.
- **24:06–25:05** — Bonds are unattractive without recession. The fiscal response is constrained, and foreign buyers are stepping back from U.S. debt.
- **26:04–27:25** — Dollar faces deglobalization and reduced demand abroad. MAG7 stocks are exposed due to their international revenue base.

- **27:44–28:55** — Humanoid robot adoption is accelerating. Figure AI leads with affordable, scalable models being piloted by UPS and others.
- **29:16–36:54** — Bitcoin adoption is surging post-ETF approval. Institutions, not retail, are the main buyers. Stablecoins are now deeply embedded in global payment rails, and the groundwork is being laid for Bitcoin to enter sovereign fiscal strategies.
- Click to watch on YouTube here: [Watch video here](#)

DISCLOSURES AND DISCLAIMERS

Analyst Certification

The analyst, 22V Research Group, primarily responsible for the preparation of this research report attests to the following: (1) that the views and opinions rendered in this research report reflect his or her personal views about the subject companies or issuers; and (2) that no part of the research analyst's compensation was, is, or will be directly related to the specific recommendations or views in this research report.

Analyst Certifications and Independence of Research.

Each of the 22V Research analysts whose names appear on the front page of this report hereby certify that all the views expressed in this Report accurately reflect our personal views about any and all of the subject securities or issuers and that no part of our compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views of in this Report.

22V Research (the "Company") is an independent research provider. The Company is not a member of the FINRA or the SIPC and is not a registered broker dealer or investment adviser. 22V Research has no other regulated or unregulated business activities which conflict with its provision of independent research.

22V Research, LLC is a professional services and independent publication organization. 22V Research, LLC is not a securities broker-dealer, not a member of the Financial Industry Regulatory Authority (FINRA), not a registered investment advisor (RIA) and not a member of SIPC.

Securities transactions, when offered, are offered by 22V Securities, LLC through LPS Capital, LLC. Certain employees of 22V Securities, LLC are dually registered as securities representatives of LPS Capital, LLC or Analyst Hub Securities, LLC. 22V Securities, LPS Capital and Analyst Hub Securities are members FINRA, SIPC.

<https://brokercheck.finra.org/>

Current Ratings Definition.

SECTOR OUTPERFORM: An "outperform" rating anticipates the company will outperform the S&P Regional Banking Index (peer group).

SECTOR PERFORM: A "market perform" rating anticipates the company will perform in line with the S&P Regional Banking Index (peer group).

SECTOR UNDERPERFORM: An "underperform" rating anticipates the company will underperform the S&P Regional Banking Index (peer group).

Limitation Of Research And Information.

This Report has been prepared for distribution to only qualified institutional or professional clients of 22V Research Group. The contents of this Report represent the views, opinions, and analyses of its authors. The information contained herein does not constitute financial, legal, tax or any other advice. All third-party data presented herein were obtained from publicly available sources which are believed to be reliable; however, the Company makes no warranty, express or implied, concerning the accuracy or completeness of such information. In no event shall the Company be responsible or liable for the correctness of, or update to, any such material or for any damage or lost opportunities resulting from use of this data. Nothing contained in this Report or any distribution by the Company should be construed as any offer to sell, or any solicitation of an offer to buy, any security or investment. Any research or other material received should not be construed as individualized investment advice. Investment decisions should be made as part of an overall portfolio strategy and you should consult with a professional financial advisor, legal and tax advisor prior to making any investment decision. 22V Research Group shall not be liable for any direct or indirect, incidental or consequential loss or damage (including loss of profits, revenue or goodwill) arising from any investment decisions based on information or research obtained from 22V Research Group.

Reproduction And Distribution Strictly Prohibited.

No user of this Report may reproduce, modify, copy, distribute, sell, resell, transmit, transfer, license, assign or publish the Report itself or any information contained therein. Notwithstanding the foregoing, clients with access to working models are permitted to alter or modify the information contained therein, provided that it is solely for such client's own use. This Report is not intended to be available or distributed for any purpose that would be deemed unlawful or otherwise prohibited by any local, state, national or international laws or regulations or would otherwise subject the Company to registration or regulation of any kind within such jurisdiction.

Copyrights, Trademarks, Intellectual Property.

22V Research Group, and any logos or marks included in this Report are proprietary materials. The use of such terms and logos and marks without the express written consent of 22V Research Group is strictly prohibited. The copyright in the pages or in the screens of the Report, and in the information and material therein, is proprietary material owned by 22V Research Group unless otherwise indicated. The unauthorized use of any material on this Report may violate numerous statutes, regulations and laws, including, but not limited to, copyright, trademark, trade secret or patent laws.